

What kind of business did buyers get for that price? eToys' sales had risen 4,261% in the previous year, and it had added 75,000 customers in the last quarter alone. But, in its 20 months in business, eToys had produced total sales of \$30.6 million, on which it had run a net loss of \$30.8 million—meaning that eToys was spending \$2 to sell every dollar's worth of toys.

The IPO prospectus also disclosed that eToys would use some proceeds of the offering to acquire another online operation, Baby-Center, Inc., which had lost \$4.5 million on \$4.8 million in sales over the previous year. (To land this prize, eToys would pay a mere \$205 million.) And eToys would “reserve” 40.6 million shares of common stock for future issuance to its management. So, if eToys ever made money, its net income would have to be divided not among 102 million shares, but among 143 million—diluting any future earnings per share by nearly one-third.

A comparison of eToys with Toys “R” Us, Inc.—its biggest rival—is shocking. In the preceding three months, Toys “R” Us had earned \$27 million in net income and had sold over 70 times more goods than eToys had sold in an entire year. And yet as Figure 17-3 shows, the stock market valued eToys at nearly \$2 billion *more* than Toys “R” Us.

**CONCLUSION:** On March 7, 2001, eToys filed for bankruptcy protection after racking up net losses of more than \$398 million in its brief life as a public company. The stock, which peaked at \$86 per share in October 1999, last traded for a penny.

**FIGURE 17-3 A Toy Story**

|                                             | eToys Inc.<br>Fiscal year<br>ended 3/31/1999 | Toys “R” Us,<br>Inc.<br>Fiscal quarter<br>ended 5/1/1999 |
|---------------------------------------------|----------------------------------------------|----------------------------------------------------------|
| Net sales                                   | 30                                           | 2,166                                                    |
| Net income                                  | (29)                                         | 27                                                       |
| Cash                                        | 20                                           | 289                                                      |
| Total assets                                | 31                                           | 8,067                                                    |
| Market value of common stock<br>(5/20/1999) | 7,780                                        | 5,650                                                    |

All amounts in millions of dollars.

Sources: The companies' SEC filings.